

Customer Loyalty & Promotional Strategy — Executive Summary

To: Founding Team · From: Analytics Team · Subject: Customer Loyalty & Promotional Strategy Findings

Bottom Line

Your business IS building genuine loyalty, BUT your most valuable customers are also your heaviest discount users — a margin leak. 30% of customers (1,170) are "High Loyalty" and generate 38.7% of revenue (\$90,305). They subscribe at 57% and average \$77 per order, yet 66.5% of their purchases use discounts.

Core Insight

The paradox: your best customers don't need discounts to purchase but use them — costing you 15–20% margin. Strategic change: shift from discount-driven acquisition to value-driven retention (subscription benefits, early access, free shipping, loyalty points).

Key Findings (condensed)



Loyalty Tiers

High (30% of customers → 38.7% revenue; 57% subscription; 20% weekly buyers), Medium (40% → 41.1% revenue; 21% subscription), Low (30% → 20.1% revenue; 5% subscription). Tiers align with genuine behavioral differences.



Discount Dependency

Segments: Genuinely Loyal (392, 0% discount), Valuable but Promo-Driven (778, 100% discount), Mixed (1,560, 38%), Discount-Only (306, 100%), At Risk (864, 26%). The 778 customers are the primary sunset target.



Geographic Opportunities

Alaska (72 customers, \$68 avg, 60% no-discount), Arizona (65, \$67, 66%), Pennsylvania (74, \$67, 55%). High organic demand — increase marketing investment.



Ideal Customer

Profile: Male, ~44 years (30–60), located in PA/AZ/AK, category: Clothing, subscribes (57%), spends \$77/order, buys weekly (20%) or monthly. Target males 40–50 with subscription-forward messaging.

Top 3 Recommendations

1

1. Sunset Discounts — Target: 778 "Valuable but Promo-Driven"

Action: 8-week phased rollout removing discounts; replace with free shipping, early access, loyalty points. Rationale: They spend \$77/order and are highly valuable but discount-addicted. Expected impact: +\$7,500–\$12,000 annual margin improvement. Risk: 5–10% churn.



90-Day Success Targets

- Overall discount usage: from 43% → <35%
- High Loyalty subscription rate: 57% → >65%
- Margin from High Loyalty: Current +15%
- Revenue from underlevered markets: +20%
- Customer satisfaction: 3.77/5 → >4.0/5

2

2. Increase Marketing in Underlevered Markets

Action & ROI: Alaska — +50% ad spend; Arizona — launch referral program; Pennsylvania — organic social focus. Expected ROI: 3–5x incremental marketing returns based on strong no-discount behavior.

3

3. Launch "Subscribe & Save"

Target: Medium Loyalty (1,560 customers). Offer: 10% off first subscription order, free shipping on subscriptions, early access. Expected impact: +500 new subscribers, +\$25,000 ARR, higher retention among Medium Loyalty cohort.

Next Steps (recommended)

1

Approve 8-week promo sunset test

Start with 195 customers next Monday to measure churn and margin recovery.

2

Increase marketing budget

Allocate +25% to Alaska, Arizona, Pennsylvania to capture organic demand and scale ROI experiments.

3

Launch "Subscribe & Save"

Deploy within 30 days with promotional creative, onboarding emails, and A/B tests for conversion.

Conclusion: Your brand is NOT overly dependent on promotions overall — you have a solid base of 1,170 High Loyalty customers generating \$90K+ revenue — but discounting valuable customers is eroding margin. Execute a careful sunset paired with value-driven subscription benefits and targeted marketing to recover margin while preserving loyalty.